NIKE, Inc.: Five-Year Financial Forecast

Three-statement model: FY2024 to FY2026 actual, FY2027 to FY2031 forecast (years ending 31 May). $ millions.

Purpose	Forecast Nike's revenue, profit and cash flow for five years under base, upside and downside scenarios.
Selected scenario	**Base case**
Revenue	Built up by region (North America, EMEA, Greater China, APLA, Converse), each with its own growth rate per scenario.
Costs	Gross margin by scenario; marketing (demand creation) and overhead as a % of revenue.
Statements	Linked income statement, balance sheet and cash flow. Cash is the balancing item; the balance sheet balances every year.
Sheets	
Summary	Key outputs and charts for the selected scenario
Assumptions	Every driver, with base / upside / downside tables. Change cell B6 to switch scenario.
Revenue Build	Revenue by region, growth and mix
Income Statement / Balance Sheet / Cash Flow	The three linked statements
Scenarios	All three scenarios side by side
Checks	Balance sheet, cash and source checks
Sources	NIKE, Inc. Form 10-K filings (FY2024 to FY2026) and fiscal 2026 fourth quarter results release (revenue by region).
Note	The FY2027 base case is set to match Nike's guidance of 1 Oct 2026 (revenue down a high single digit percentage, EPS of about $1.15 to $1.35 before restructuring). The regional split and FY2028 to FY2031 are my own assumptions.
Colour key	Blue = input, black = formula, green = link to another sheet, yellow = key assumption, grey = actual (history)
Checks status	**OK**

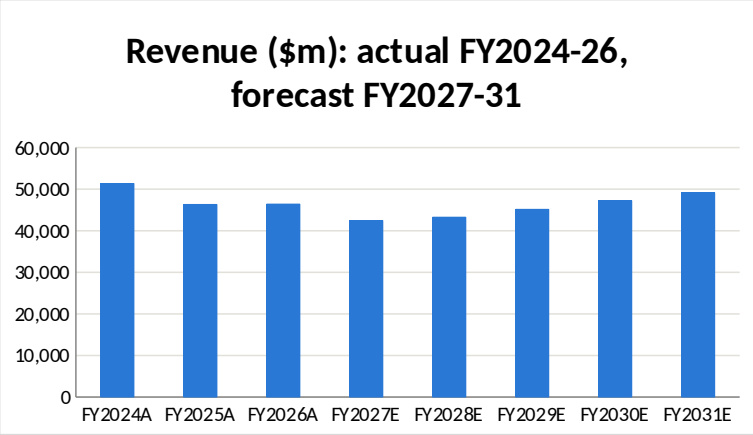
Nike Five-Year Forecast: Summary

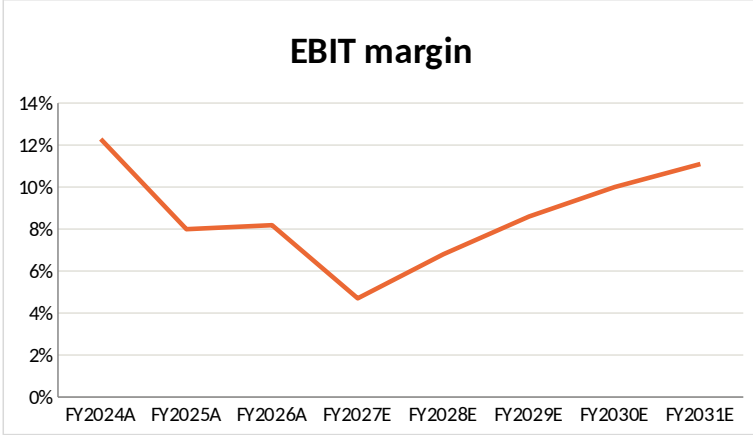
Selected scenario shown. Change the scenario on the Assumptions sheet (cell B6).

Scenario: Base case

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue	51,362	46,309	46,398	42,442	43,237	45,140	47,197	49,130
Revenue growth		(9.8%)	0.2%	(8.5%)	1.9%	4.4%	4.6%	4.1%
Gross margin	44.6%	42.7%	42.9%	42.5%	43.0%	43.5%	44.0%	44.5%
Operating income (EBIT)	6,311	3,702	3,797	1,995	2,940	3,882	4,720	5,453
EBIT margin	12.3%	8.0%	8.2%	4.7%	6.8%	8.6%	10.0%	11.1%
Net income	5,700	3,219	3,108	1,614	2,406	3,175	3,857	4,437
Diluted EPS ($)	$3.73	$2.16	$2.10	$1.09	$1.63	$2.19	$2.73	$3.23
Cash from operations	7,429	3,698	2,868	3,962	4,057	4,791	5,226	5,809
Free cash flow	6,617	3,268	2,184	3,283	3,365	4,069	4,471	5,023
Cash returned to shareholders	6,419	5,285	2,553	2,660	3,146	3,931	4,987	5,533
Cash and short-term investments	11,582	9,151	9,027	7,650	7,870	8,008	7,492	6,982
Total debt	8,909	7,966	7,942	5,942	5,942	5,942	5,942	5,942

Checks status **OK**





Assumptions

Blue = input you can change. Yellow = key assumption. Forecast years only; history shown grey for reference.

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Scenario (1 = Base, 2 = Upside, 3 = Downside)		1 Base case						
Revenue growth by region: selected scenario								
North America				**(6.0%)**	**3.0%**	**5.0%**	**5.0%**	**4.0%**
Europe, Middle East & Africa				**(8.0%)**	**2.0%**	**4.0%**	**4.0%**	**4.0%**
Greater China				**(20.0%)**	**(3.0%)**	**3.0%**	**4.0%**	**4.0%**
Asia Pacific & Latin America				**(6.0%)**	**3.0%**	**5.0%**	**5.0%**	**5.0%**
Converse				**(15.0%)**	**(5.0%)**	**-**	**2.0%**	**2.0%**
Revenue growth by region: Base case								
North America				(6.0%)	3.0%	5.0%	5.0%	4.0%
Europe, Middle East & Africa				(8.0%)	2.0%	4.0%	4.0%	4.0%
Greater China				(20.0%)	(3.0%)	3.0%	4.0%	4.0%
Asia Pacific & Latin America				(6.0%)	3.0%	5.0%	5.0%	5.0%
Converse				(15.0%)	(5.0%)	-	2.0%	2.0%
Revenue growth by region: Upside case								
North America				(3.0%)	5.0%	7.0%	6.0%	5.0%
Europe, Middle East & Africa				(5.0%)	4.0%	6.0%	5.0%	5.0%
Greater China				(15.0%)	3.0%	6.0%	6.0%	5.0%
Asia Pacific & Latin America				(3.0%)	5.0%	7.0%	7.0%	6.0%
Converse				(10.0%)	-	3.0%	4.0%	3.0%
Revenue growth by region: Downside case								
North America				(9.0%)	-	2.0%	3.0%	3.0%
Europe, Middle East & Africa				(11.0%)	(2.0%)	1.0%	2.0%	2.0%
Greater China				(26.0%)	(10.0%)	(3.0%)	-	1.0%
Asia Pacific & Latin America				(9.0%)	-	2.0%	3.0%	3.0%
Converse				(20.0%)	(10.0%)	(3.0%)	-	-
Global Brand Divisions and Corporate ($m, held flat)				51	51	51	51	51
Margins and costs (% of revenue)								
Gross margin: base				42.5%	43.0%	43.5%	44.0%	44.5%
Gross margin: upside				43.0%	44.0%	45.0%	45.5%	46.0%
Gross margin: downside				42.0%	42.0%	42.5%	43.0%	43.0%
Gross margin: selected scenario				**42.5%**	**43.0%**	**43.5%**	**44.0%**	**44.5%**
Demand creation (marketing)				10.5%	10.2%	9.9%	9.7%	9.6%
Operating overhead				27.3%	26.0%	25.0%	24.3%	23.8%
Depreciation and amortization				1.6%	1.6%	1.6%	1.6%	1.6%
Stock-based compensation (non-cash, inside overhead)				1.5%	1.5%	1.5%	1.5%	1.5%
Capital expenditure				1.6%	1.6%	1.6%	1.6%	1.6%
Tax and interest								
Effective tax rate				19.0%	19.0%	19.0%	19.0%	19.0%
Interest rate on debt				4.0%	4.0%	4.0%	4.0%	4.0%
Interest earned on cash and investments				3.5%	3.5%	3.5%	3.5%	3.5%
Working capital								
Receivable days (on revenue)				44.0	42.0	40.0	40.0	40.0
Inventory days (on cost of sales)				100.0	98.0	96.0	95.0	95.0
Payable days (on cost of sales)				50.0	50.0	50.0	50.0	50.0
Prepaid and other current assets (% of revenue)				4.6%	4.6%	4.6%	4.6%	4.6%
Accrued liabilities (% of revenue)				13.1%	13.1%	13.1%	13.1%	13.1%
Capital allocation								
Debt repaid ($m)				2,000	-	-	-	-
Dividend per share growth				-	-	3.0%	5.0%	5.0%
Share buybacks ($m)				250	750	1,500	2,500	3,000
Average buyback share price ($)				$40.00	$45.00	$50.00	$55.00	$60.00
New shares issued to employees (m)				8.0	8.0	8.0	8.0	8.0

Revenue Build by Region

FY2025 and FY2026 actual revenue by region from Nike's fiscal 2026 results; forecast = prior year x (1 + growth).

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue ($m)								
North America		19,572	20,511	19,280	19,859	20,852	21,894	22,770
Europe, Middle East & Africa		12,257	12,572	11,566	11,798	12,269	12,760	13,271
Greater China		6,586	5,847	4,678	4,537	4,673	4,860	5,055
Asia Pacific & Latin America		6,251	6,243	5,868	6,044	6,347	6,664	6,997
Converse		1,692	1,174	998	948	948	967	986
Global Brand Divisions and Corporate		(49)	51	51	51	51	51	51
Total revenue	51,362	**46,309**	**46,398**	**42,442**	**43,237**	**45,140**	**47,197**	**49,130**
Growth								
North America			4.8%	(6.0%)	3.0%	5.0%	5.0%	4.0%
Europe, Middle East & Africa			2.6%	(8.0%)	2.0%	4.0%	4.0%	4.0%
Greater China			(11.2%)	(20.0%)	(3.0%)	3.0%	4.0%	4.0%
Asia Pacific & Latin America			(0.1%)	(6.0%)	3.0%	5.0%	5.0%	5.0%
Converse			(30.6%)	(15.0%)	(5.0%)	-	2.0%	2.0%
Total revenue growth		**(9.8%)**	**0.2%**	**(8.5%)**	**1.9%**	**4.4%**	**4.6%**	**4.1%**
Revenue mix								
North America		42.3%	44.2%	45.4%	45.9%	46.2%	46.4%	46.3%
Europe, Middle East & Africa		26.5%	27.1%	27.3%	27.3%	27.2%	27.0%	27.0%
Greater China		14.2%	12.6%	11.0%	10.5%	10.4%	10.3%	10.3%
Asia Pacific & Latin America		13.5%	13.5%	13.8%	14.0%	14.1%	14.1%	14.2%
Converse		3.7%	2.5%	2.4%	2.2%	2.1%	2.0%	2.0%

Income Statement

FY2024 to FY2026 as reported (10-K). FY2027 to FY2031 forecast from the Assumptions sheet.

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Revenues	51,362	46,309	46,398	42,442	43,237	45,140	47,197	49,130	
Cost of sales	28,475	26,519	26,487	24,404	24,645	25,504	26,430	27,267	
Gross profit	**22,887**	**19,790**	**19,911**	**18,038**	**18,592**	**19,636**	**20,767**	**21,863**	
Demand creation expense	4,285	4,689	4,754	4,456	4,410	4,469	4,578	4,716	
Operating overhead expense	12,291	11,399	11,360	11,587	11,242	11,285	11,469	11,693	
Operating income (EBIT)	**6,311**	**3,702**	**3,797**	**1,995**	**2,940**	**3,882**	**4,720**	**5,453**	
Interest expense (income), net	(161)	(107)	(50)	2	(30)	(38)	(43)	(25)	*Forecast: opening debt x rate less opening cash x rate (avoids a circular reference)*
Other (income) expense, net	(228)	(76)	(53)	-	-	-	-	-	*Forecast: assumed nil*
Income before income taxes	**6,700**	**3,885**	**3,900**	**1,993**	**2,970**	**3,920**	**4,762**	**5,478**	
Income tax expense	1,000	666	792	379	564	745	905	1,041	
Net income	**5,700**	**3,219**	**3,108**	**1,614**	**2,406**	**3,175**	**3,857**	**4,437**	
Diluted shares (m)	1,529.7	1,487.6	1,481.0	1,482.8	1,474.1	1,452.1	1,414.6	1,372.6	
Diluted EPS ($)	**$3.73**	**$2.16**	**$2.10**	**$1.09**	**$1.63**	**$2.19**	**$2.73**	**$3.23**	
Dividends per share ($)	$1.42	$1.55	$1.63	$1.63	$1.63	$1.67	$1.76	$1.85	
Margins									
Gross margin	44.6%	42.7%	42.9%	42.5%	43.0%	43.5%	44.0%	44.5%	
Demand creation % of revenue	8.3%	10.1%	10.2%	10.5%	10.2%	9.9%	9.7%	9.6%	
Operating overhead % of revenue	23.9%	24.6%	24.5%	27.3%	26.0%	25.0%	24.3%	23.8%	
EBIT margin	12.3%	8.0%	8.2%	4.7%	6.8%	8.6%	10.0%	11.1%	
Net margin	11.1%	7.0%	6.7%	3.8%	5.6%	7.0%	8.2%	9.0%	
Effective tax rate	14.9%	17.1%	20.3%	19.0%	19.0%	19.0%	19.0%	19.0%	

Balance Sheet

Balances at 31 May. History from the 10-K (intangibles and goodwill combined; notes payable in short-term debt). Cash is the balancing figure from the cash flow.

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Assets								
Cash and equivalents	9,860	7,464	7,563	6,186	6,406	6,544	6,028	5,518
Short-term investments	1,722	1,687	1,464	1,464	1,464	1,464	1,464	1,464
Accounts receivable, net	4,427	4,717	5,931	5,116	4,975	4,947	5,172	5,384
Inventories	7,519	7,489	7,501	6,686	6,617	6,708	6,879	7,097
Prepaid expenses and other current assets	1,854	2,005	2,144	1,952	1,989	2,076	2,171	2,260
Total current assets	**25,382**	**23,362**	**24,603**	**21,405**	**21,451**	**21,739**	**21,714**	**21,723**
Property, plant and equipment, net	5,000	4,828	4,796	4,796	4,796	4,796	4,796	4,796
Operating lease right-of-use assets	2,718	2,712	2,838	2,838	2,838	2,838	2,838	2,838
Intangible assets and goodwill	499	499	499	499	499	499	499	499
Deferred income taxes and other assets	4,511	5,178	5,674	5,674	5,674	5,674	5,674	5,674
Total assets	**38,110**	**36,579**	**38,410**	**35,212**	**35,258**	**35,546**	**35,521**	**35,530**
Liabilities								
Short-term debt and current portion of long-term debt	1,006	5	2,000	-	-	-	-	-
Accounts payable	2,851	3,479	3,600	3,343	3,376	3,494	3,621	3,735
Accrued liabilities	5,725	5,911	6,092	5,560	5,664	5,913	6,183	6,436
Income taxes payable	534	669	377	377	377	377	377	377
Current operating lease liabilities	477	502	478	478	478	478	478	478
Total current liabilities	**10,593**	**10,566**	**12,547**	**9,758**	**9,895**	**10,262**	**10,658**	**11,026**
Long-term debt	7,903	7,961	5,942	5,942	5,942	5,942	5,942	5,942
Operating lease liabilities	2,566	2,550	2,613	2,613	2,613	2,613	2,613	2,613
Deferred income taxes and other liabilities	2,618	2,289	2,443	2,443	2,443	2,443	2,443	2,443
Total liabilities	**23,680**	**23,366**	**23,545**	**20,756**	**20,893**	**21,260**	**21,656**	**22,024**
Shareholders' equity								
Common stock and capital in excess of stated value	13,412	14,198	15,161	15,798	16,446	17,123	17,831	18,568
Accumulated other comprehensive income (loss)	53	(258)	(141)	(141)	(141)	(141)	(141)	(141)
Retained earnings (deficit)	965	(727)	(155)	(1,201)	(1,940)	(2,696)	(3,825)	(4,921)
Total shareholders' equity	**14,430**	**13,213**	**14,865**	**14,456**	**14,365**	**14,286**	**13,865**	**13,506**
Total liabilities and shareholders' equity	**38,110**	**36,579**	**38,410**	**35,212**	**35,258**	**35,546**	**35,521**	**35,530**
Check: assets - liabilities - equity (should be 0)	-	-	-	-	-	-	-	-

Cash Flow Statement

History from the 10-K (smaller items grouped). Forecast built from the income statement and balance sheet movements.

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Operating activities								
Net income	5,700	3,219	3,108	1,614	2,406	3,175	3,857	4,437
Depreciation and amortization	796	775	747	679	692	722	755	786
Stock-based compensation	804	709	715	637	649	677	708	737
(Increase) decrease in receivables				815	141	28	(225)	(212)
(Increase) decrease in inventories				815	69	(91)	(171)	(218)
(Increase) decrease in prepaid and other				192	(37)	(88)	(95)	(89)
Increase (decrease) in payables				(257)	33	118	127	115
Increase (decrease) in accrued liabilities				(532)	104	249	269	253
Working capital and other items (history, total)	129	(1,005)	(1,702)	-	-	-	-	-
Cash provided by operations	**7,429**	**3,698**	**2,868**	**3,962**	**4,057**	**4,791**	**5,226**	**5,809**
Investing activities								
Additions to property, plant and equipment	(812)	(430)	(684)	(679)	(692)	(722)	(755)	(786)
Short-term investments and other	1,706	155	196	-	-	-	-	-
Cash used by investing activities	**894**	**(275)**	**(488)**	**(679)**	**(692)**	**(722)**	**(755)**	**(786)**
Financing activities								
Debt repaid	-	(1,001)	-	(2,000)	-	-	-	-
Dividends paid	(2,169)	(2,300)	(2,407)	(2,410)	(2,396)	(2,431)	(2,487)	(2,533)
Share buybacks	(4,250)	(2,985)	(146)	(250)	(750)	(1,500)	(2,500)	(3,000)
Share issuance and other	531	466	261	-	-	-	-	-
Cash used by financing activities	**(5,888)**	**(5,820)**	**(2,292)**	**(4,660)**	**(3,146)**	**(3,931)**	**(4,987)**	**(5,533)**
Effect of exchange rates	(16)	1	11	-	-	-	-	-
Net change in cash	**2,419**	**(2,396)**	**99**	**(1,377)**	**219**	**138**	**(516)**	**(510)**
Cash at beginning of year	7,441	9,860	7,464	7,563	6,186	6,406	6,544	6,028
Cash at end of year	**9,860**	**7,464**	**7,563**	**6,186**	**6,406**	**6,544**	**6,028**	**5,518**
Free cash flow								
Free cash flow (operations less capex)	**6,617**	**3,268**	**2,184**	**3,283**	**3,365**	**4,069**	**4,471**	**5,023**
Cash returned to shareholders	6,419	5,285	2,553	2,660	3,146	3,931	4,987	5,533

Scenario Comparison

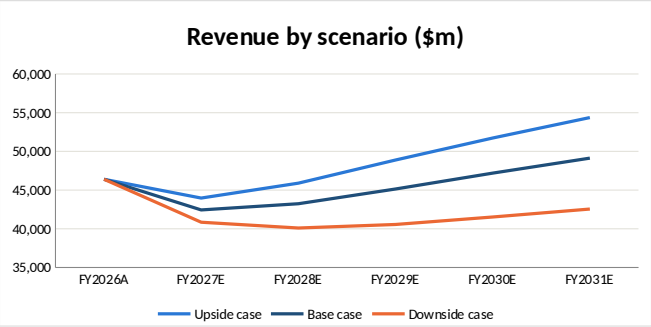
Revenue and operating income under each scenario, calculated in parallel (independent of the scenario selector).

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Base case									
North America		19,572	20,511	19,280	19,859	20,852	21,894	22,770	
Europe, Middle East & Africa		12,257	12,572	11,566	11,798	12,269	12,760	13,271	
Greater China		6,586	5,847	4,678	4,537	4,673	4,860	5,055	
Asia Pacific & Latin America		6,251	6,243	5,868	6,044	6,347	6,664	6,997	
Converse		1,692	1,174	998	948	948	967	986	
Total revenue			46,398	**42,442**	**43,237**	**45,140**	**47,197**	**49,130**	Base case
Operating income (EBIT)			3,797	**1,995**	**2,940**	**3,882**	**4,720**	**5,453**	
EBIT margin			8.2%	4.7%	6.8%	8.6%	10.0%	11.1%	
Upside case									
North America		19,572	20,511	19,896	20,890	22,353	23,694	24,879	
Europe, Middle East & Africa		12,257	12,572	11,943	12,421	13,166	13,825	14,516	
Greater China		6,586	5,847	4,970	5,119	5,426	5,752	6,039	
Asia Pacific & Latin America		6,251	6,243	6,056	6,358	6,804	7,280	7,717	
Converse		1,692	1,174	1,057	1,057	1,088	1,132	1,166	
Total revenue			46,398	**43,972**	**45,897**	**48,888**	**51,733**	**54,367**	Upside case
Operating income (EBIT)			3,797	**2,287**	**3,580**	**4,938**	**5,949**	**6,850**	
EBIT margin			8.2%	5.2%	7.8%	10.1%	11.5%	12.6%	
Downside case									
North America		19,572	20,511	18,665	18,665	19,038	19,609	20,198	
Europe, Middle East & Africa		12,257	12,572	11,189	10,965	11,075	11,296	11,522	
Greater China		6,586	5,847	4,327	3,894	3,777	3,777	3,815	
Asia Pacific & Latin America		6,251	6,243	5,681	5,681	5,795	5,969	6,148	
Converse		1,692	1,174	939	845	820	820	820	
Total revenue			46,398	**40,852**	**40,102**	**40,556**	**41,523**	**42,554**	Downside case
Operating income (EBIT)			3,797	**1,716**	**2,326**	**3,082**	**3,737**	**4,085**	
EBIT margin			8.2%	4.2%	5.8%	7.6%	9.0%	9.6%	

Summary: FY2031

Scenario	FY2031 revenue	Revenue CAGR FY26-31	FY2031 EBIT	FY2031 EBIT margin
Base case	49,130	1.2%	5,453	11.1%
Upside case	54,367	3.2%	6,850	12.6%
Downside case	42,554	(1.7%)	4,085	9.6%

Chart data



Checks

All should be 0 (or OK).

$ millions unless stated	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Balance sheet balances	-	-	-	-	-	-	-	-
Cash flow closing cash = balance sheet cash	-	-	-	-	-	-	-	-
Revenue build = income statement revenue	-	-	-	-	-	-	-	-
Reported net income agrees (history)	-	-	-	-	-	-	-	-
Reported total assets agree (history)	-	-	-	-	-	-	-	-
Base case scenario sheet = model (when scenario 1 sele	-	-	-	-	-	-	-	-
Cash stays positive	OK	OK	OK	OK	OK	OK	OK	OK

Overall status **OK**